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ECONOMIC SURVEYS

NORWAY

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS JULY 1965

BASIC STATISTICS OF NORWAY

THE LAND

Area (1,000 sq.km.)	324
Arable area (1,000 sq.km.)	10
Productive forest	70
Major cities (January 1964)	
Oslo	487,700
Bergen	116,900

THE PEOPLE

Population (Dec. 1964)	3,708,000
No. of inhabitants per sq.km.	11
Net natural increase annual rate (average 1960-64)	27,983
— per 1,000 inhabitants (average 1960-64)	8.0
Labour force total 1964 (man years)	1,517,000
of which, in agriculture, forestry and fishing	301,000
Net annual migration (average 1960-64)	1,071

PRODUCTION

Gross National Product in 1964 (millions of kr. Norwegian definition)	49,600
GNP per head (U.S. $)	1,880
Gross fixed capital formation (1964):	
— percentage of the GNP	35
— per head US $	659

THE GOVERNMENT

Public consumption in 1964 (percentage of GNP)	12
General government current revenue in 1964 (percentage of GNP)	32
Public gross fixed capital formation in 1964 (percentage of GNP)	11
Last general election : 1961	
Next general election : 1965	
Composition of Parliament (No. of seats):	
— Labour party	74
— Conservative party	29
— Centre (Agrarian) party	16
— Liberal Party	14
— Christian Democrats	15
— Left-wing Socialist party	2
	150

LIVING STANDARDS

Average hourly earnings of male industrial workers in 1964 (in kroner)	8,40
No. of passenger cars in use per 1,000 inhabitants (Dec. 1964)	112
No. of telephones per 1,000 inhabitants (1963)	228
No. of radio licences per 1,000 inhabitants (Dec. 1964)	287
No. of television licences per 1,000 inhabitants (Dec. 1964)	111

FOREIGN TRADE

Exports:	
Exports of goods and services as a percentage of GNP (average 1960-64)	37
Main exports in 1964 (percentage of total commodity exports):	
— Base metals and products thereof	25
— Forestry products	16
— Fish and fish products	9
— Machinery, apparatus and transport equipment (excl. ships)	8
Imports:	
Imports of goods and services as a percentage of GNP (average 1960-64)	39
Main imports in 1964 (percentage of total commodity imports):	
— Ships (average 1960-64)	16
— Machinery, apparatus and transport equipment (excl. ships)	22
— Raw materials (non-edible) incl. fuels and chemicals	26
— Base metals and products thereof	11

THE CURRENCY

Monetary Unit: Krone	
Currency unit per US $	7,14

ECONOMIC SURVEYS BY THE OECD

NORWAY

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the OECD shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the OECD, which came into being on 30th September 1961.

The Members of OECD are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

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CONTENTS

Introduction 5

I Current Trends 5

Demand 5
Output 7
Income and Prices 8
Balance of Payments 10
Recent Policy Measures 11
The Government Budget 11
Credit Policy 13

II Longer-Term Trends and Problems 16

Economic Growth 17
Balance of Payments 19
Costs and Prices 21
a) *Income Determination* 22
b) *Price Regulation* 24
c) *Subsidy Policy* 24

III Summary and Conclusions 27

Statistical Annex 31

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INTRODUCTION

The Norwegian economy has expanded fast in recent years, with the rate of growth of the real gross national product accelerating to more than 6 per cent in 1964. Official forecasts point to continued strong expansion in 1965. But demand is tending to rise faster than capacity and generate strong pressure on prices and the foreign balance. After an improvement in 1964, when exports rose steeply and there was a temporary decline in imports of ships, the current deficit is now rising again due to a renewed rise in ship imports. The increase in prices will be less marked than last year, as there will be no general re-negotiations of wages or other incomes during the remaining part of the year.

Part I of the present survey reviews current trends in the economy and considers the policy measures adopted over the past year. Part II discusses longer-term trends and problems concerning growth, price stability and the external deficit.

I. CURRENT TRENDS

Demand

Exports of goods and services constituted the main dynamic element in 1964, accounting for almost half the increase in GNP. Commodity exports had begun to revive strongly in the previous autumn, and between 1963 and 1964 their expansion amounted to 19 per cent by value and 16 per cent by volume — the biggest increase since the Korean boom of 1951. There was a particularly steep increase (33 per cent) in sales to the United Kingdom, the most important market for Norwegian exports. Higher shipments were achieved partly through a reduction of stocks; but it was also possible to step up production for export rather sharply in many sectors, e.g., pulp, paper and metals, because demand had risen less than capacity in the 1961 - 1963 period. The rise in exports began to slow down during the year, as the stock situation got tighter, and this tendency has continued in the first quarter of 1965. For 1965 as a whole, the authorities expect an increase in commodity exports of 8 per cent (6 per cent in volume). The slowdown can mainly be ascribed to capacity limitations, but some weakening of foreign demand is also likely; in particular, sales to the

TABLE 1. GROSS NATIONAL PRODUCT AND EXPENDITURE

Kr. million, 1964 prices.

	ACCOUNTS 1964	BUDGET 1965	PERCENTAGE CHANGES	
			1963-64	1964-65
Private consumption	26,230	27,150	3.5	3-4
Public consumption	6,171	6,570	5.8	6-7
Civil	4,677	4,910	7.1	5
Military	1,494	1,660	2.4	11
Gross fixed asset formation	17,280	19,130	3.5	10-11
Building and construction	8,287	8,780	4.7	6
Machinery and transport	5,490	5,990	7.6	9
Ships and other vessels	3,503	4,360	−3.2	25
Investments in stocks	122	100	—	—
Exports	19,046	20,350	10.5	6
Goods	8,646	9,150	15.0	6
Gross freight earnings	7,750	8,440	5.9	9
Total demand	68,849	73,300	6.4	6-7
Imports	19,206	20,990	8.3	9-10
Goods	12,301	13,170	11.8	7
Ships	1,988	2,700	−7.1	36
Gross national product	49,643	52,310	6.2	5-5.5

Source: Revised National Budget for 1965.

United Kingdom will probably be far less buoyant than last year, partly because of a slackening of the growth of demand in that market (notably for stockbuilding) and partly because of the import surcharge. The acceleration of demand at home, notably for investment goods, may also have an adverse influence on exports.

In 1964 gross fixed asset formation rose by 3.5 per cent in real terms, rather less than in the preceding years. Investment in ships fell because of fluctuations in deliveries from domestic and foreign shipyards; if ships are excluded, fixed investment rose at about the same rate as in 1963. Trends in imports and domestic production suggest that some strengthening of investment demand took place in the course of the year, and this seems to be continuing in 1965. The December survey of investment intentions suggested a sharp acceleration of the increase in industrial gross fixed asset formation; but with capacity limitations, the quotas for the regulated building activity, and a restrictive credit policy, the authorities expect this to be restrained to about 10 per cent, compared with 6 to 7 per cent last year. Residential construction, on the other hand, which is also likely to rise faster than in 1964, has been stimulated by official policy, particularly by raising the credit ceilings of the state housing banks. Deliveries of ships should rise significantly, partly because of the delays in 1964. Total gross fixed asset formation is likely to increase by 10 to 11 per cent

in real terms. Inventory accumulation can be expected to remain at the same level as last year, when the reduction of stocks in the export industries was more than offset by net additions to stocks elsewhere.

Public expenditure is rising strongly. Public investment is expected to repeat last year's increase of about 10 per cent, and the growth of public consumption will probably accelerate because of military expenditure.

There was only a moderate growth of private consumption last year — 3.5 per cent in real terms — despite some decline in the personal savings ratio. This reflected a change of income distribution in favour of non-wage incomes, reversing the trend of preceding years. The changed pattern of incomes was particularly marked in real terms because consumer prices rose faster than others. On the basis of recent wage settlements and the likely trend in prices, real incomes of wage earners should accelerate in 1965; but the growth of private consumption may remain fairly steady because of some recovery in the personal savings ratio.

Output

The advance in production last year was particularly strong in forestry, fishing and manufacturing industry. Industrial production rose by more than 8.5 per cent; with better utilisation of capacity, output per man increased by 7 per cent, much more than the average annual advance in recent years (about 4 per cent). Total employment was 0.8 per cent higher than in 1963, the increase taking place mainly in industry, building and

TABLE 2. OUTPUT AND EMPLOYMENT

	PERCENTAGE DISTRIBUTION, 1964		CHANGES IN PER CENT			
	GROSS SECTOR PRODUCT	EMPLOYMENT, MAN-YEARS	GROSS SECTOR PRODUCT, VOLUME		EMPLOYMENT	
			1963-64	1964-65	1963-64	1964-65
Farming	4.2	15.7	2.8	3	−2.4	−2.3
Forestry	2.1	1.6	10.2	2-3	−3.6	−3.3
Fishing and whaling	1.7	2.7	9.3	0	−0.7	−1.2
Manufacturing and mining	24.9	25.0	8.5	5-6	1.1	0.9
Building and construction	7.9	8.1	5.4	5-6	0.7	0.8
Electricity and water supply	2.9	0.9	6.6	7	2.3	1.4
Retail and wholesale trade	17.8	12.1	7.1	5-6	1.9	1.6
Maritime transport	10.8	5.4	5.2	9	0.5	1.2
Other transport	6.3	5.6	5.2	4-5	0.6	0.4
Miscellaneous activities	21.4	22.9	3.4	4	2.7	2.2
Gross national product	100.0	100.0	6.2	5-5 ½	0.8	0.6

Source: Revised National Budget for 1965.

construction and the service sectors. Unemployment fell to about 1 per cent of the labour force — and to as little as 0.6 per cent in the summer.

At the beginning of 1965 existing capacity was very fully utilised and the labour market tight. Nevertheless, the high level of investment is thought likely to enable real GNP and industrial production to increase by more than 5 per cent. Shipping output, likely to rise by 9 per cent, will probably account for nearly one-fifth of the growth.

Incomes and Prices

The main features of the movement of incomes in 1964 were:

a) a decline in the share of wages and salaries; during the years 1962 and 1963 profits had been relatively low, particularly in the sectors exposed to foreign competition,

b) a rise in the share of profits in such sectors, reflecting higher export prices and better capacity utilisation in the export industries.

TABLE 3. **PRIVATE INCOMES**

	1957 MILL. KR.	1963 MILL. KR.	1964 MILL. KR.	CHANGES IN PER CENT	
				AVERAGE 1957-63	1963-64
Private incomes of labour and capital..	22,855	31,371	34,890	5.4	11.2
Of which:					
Wages	13,365	20,934	22,639	7.8	8.1
Incomes of self-employed in farming, forestry and fishing	2,117	2,117	2,469	—	16.6
Other self-employed and enterprises ..	7,373	8,230	9,782	1.4	18.8
Wage incomes as per cent of private incomes	58.5	66.7	64.9	.	.
Owner income[1]					
In sectors exposed to competition	3,435	2,043	3,083	—5.8	50.4
In sheltered sectors	6,281	9,043	9,827	6.3	8.7

1. Total private incomes plus public and foreign net incomes on capital (not specified here) minus wage incomes.

Source: Revised National Budget for 1965.

The 8 per cent rise in the wage bill between 1963 and 1964 was partly due to higher employment and wage-drift; wage rates rose much less. Income settlements covering most wage and salary earners, farmers, and fishermen expired during the year, and with a view to co-ordinating the various settlements, the authorities held a number of meetings with the parties involved, thus continuing the informal contact established prior

to the 1963 negotiations. The negotiations between the trade unions and employers broke down and official mediation failed to produce agreement. To prevent strikes, the Government referred the dispute to an official arbitration court whose decision, legally binding, provided for average increases in wage rates in the industries concerned of 3.2 per cent in 1964 and 1.6 per cent in 1965; the increases were generally greater for the lower than the higher paid workers. An index clause provided for re-negotiation if the consumer price index should rise above 120.6 (1959 = 100). The negotiations between the Government and the farmers' organisations also ended without an agreement being reached. After an offer of voluntary arbitration had been turned down by the farmers' representatives, the settlement was submitted to a specially appointed board for compulsory arbitration. The board's decision provided for a sharper percentage increase in farm incomes than in wage incomes over the period, because the income development in recent years was regarded to have been less favourable in agriculture than in other sectors. The negotiations between the Government and the Fisheries Association ended with agreement on a support scheme covering the following two-year period.

According to the 1964 settlements, the second stage of the wage and income increase was to be implemented in the first half of 1965. With prices rising relatively fast it seemed likely, last autumn, that the index clause would also become effective early in 1965. The possibility of a second index revision in the autumn could not be excluded. Facing the possibility of a number of price and wage settlements in the course of the year, the Government held another series of meetings with the parties concerned within the so-called "contact committee" (see p. 23). On the basis of the discussions in the "contact committee", the subsequent negotiations between the parties concerned led to a co-ordinated price and wage agreement, effective from February 22. The index compensation was fixed at 55 per cent of the price increase up to January with two points added. Thus, the expected price increase resulting from the income increase would be partly compensated for in advance. Correspondingly, the following index limit was increased by two points compared to what it would have been on the basis of the January index. In addition, the second stage of income increases according to the 1964 agreement was implemented at the same time as the index adjustment. The wage increases averaged 4.5 per cent, with stronger increases for lower paid groups. The farmers received a somewhat higher percentage increase, due to higher increases according to the 1964 agreement.

In 1964, the consumer price index was, on average, 5.7 per cent higher than in 1963. In the course of the year it rose by 7 per cent, and the first five months of 1965 saw a further increase of 2.3 per cent. This movement reflected a reduction in subsidies at the beginning of last year, higher import prices, unfavourable farming conditions, and the effects of the income settlements. Although the average rise in wage rates would

not seem excessive, much of it affected lower paid workers in sectors where productivity is rising relatively slowly, and wage-drift (about 4 per cent) added to labour costs. The rise in farmers' incomes was mainly implemented through higher prices. A poor harvest pushed up food prices further in the autumn.

The recent income settlements were concluded on the assumption that the Government would ensure a certain degree of price stability in the period covered by the settlements (up to the spring of 1966). Two-thirds of the negotiated rise in farm incomes, representing about 1 point in the consumer price index, was therefore effected in the form of higher subsidies. The Government has declared that if the index appears likely to exceed 124 - 125 on average for the period January 1965 - February 1966, further measures will be proposed to the Storting. At present it seems highly unlikely that this should be necessary.

Balance of Payments

The current deficit fell sharply in 1964, mainly because of higher export earnings and lower imports of ships. The trade balance changed little because of the strong demand for imports especially for investment purposes. There was an improvement of the commodity terms of trade of 2 per cent, and freight rates per gross ton rose by 6 per cent. The current deficit is likely to rise again in 1965, mainly because of a strong recovery in imports of ships, but also because of an increase in the trade deficit.

The large increase in commodity exports in 1964 (19 per cent = $194 million) was offset by a sharp increase in imports (13 per cent = $203 million). Imports of raw materials and semi-manufactures rose considerably, partly because of growing output and partly because of stockbuilding. Imports of machinery and equipment picked up strongly towards the end of the year, reflecting the strengthening of domestic investment demand. The rise in imports slowed down at the beginning of 1965, but with domestic demand likely to remain strong the authorities expect the year as a whole to show an increase of 8 per cent (7 per cent in volume). In percentage terms exports are thought likely to increase at about the same rate as imports, but in absolute value the rise in exports will be smaller with some increase in the trade deficit.

Imports of capital fell in 1964, mainly because of a decline in shipping credits, but remained higher than the current deficit plus capital expenditure abroad, so that the foreign exchange reserves continued to grow. The authorities expect the reserves to show some rise again in 1965. Shipping credits should be considerably higher, and some foreign loans have already been secured, including a $30 million government issue

floated in London, a DM 50 million loan in Germany and a $15 million loan in New York, both raised by the city of Oslo.

TABLE 4. THE BALANCE OF PAYMENTS[1]

$ million.

	1962	1963	1964	1965 OFFICIAL ESTIMATES
Commodity imports (c.i.f.)	1,431	1,520	1,723	1,863
Commodity exports (f.o.b.)	937	1,017	1,211	1,309
Trade balance	−494	−503	−512	−554
Imports of ships (net)	−194	−247	−189	−266
Net freight earnings	476	522	590	616
Other services and transfers, net	37	34	32	32
Current balance	−175	−194	−79	−172
Net lending by exports of ships	3	−4	−10	−14
Redemption of public loans incl. E.P.U. loans and public enterprises	−37	−41	−42	−34
Redemption of other loans	−9	−15	−8	−10
Total current balance and capital expenses	−218	−254	−139	−230
Net borrowing by imports of ships	72	154	48	112
Public borrowing including public enterprises	42	98	125	126
Other borrowing	23	39	45	56
Other known net capital inflow	32	−5	−25	−64
Change in foreign exchange reserves (increase −, decrease +)	+35	−50	−40	
Net errors and omissions	14	18	−14	
Total capital income	218	254	139	230

1. According to Norwegian definitions. The main differences from the OECD definitions are that imports are registered c.i.f. and that the shipping items are shown net and separately.

Source: Revised National Budget, 1965.

Recent Policy Measures

A major problem in the present year is the tendency for aggregate demand to rise faster than output. A number of budgetary and monetary measures have been taken to restrict the rise in domestic expenditure, but these have not been sufficient to prevent continued strong pressure of demand. On the basis of existing trends and policies, the situation is unlikely to change much during the year, given the expansionary budget and the fact that bank credit is increasing more than planned.

The Government Budget

Government purchases of goods and services rose by 14 per cent in current prices in 1964, continuing the strong upward trend of recent years; transfer payments increased less (5 - 6 per cent). The increase in the sales tax which was found necessary for the 1965 budget (see the following paragraph) was made applicable from the beginning of December 1964,

leading to an acceleration of private purchases in the preceding months. The resulting rise in revenue together with a strong increase in the tax base in general, enabled total budget receipts to rise faster than expenditure, so that the surplus on current and investment account (financial savings) increased. However, the increase in Government lending, notably to the state banks, was still greater and the cash deficit therefore rose; it was entirely financed by long-term borrowing.

TABLE 5. CENTRAL GOVERNMENT BUDGET

Kr. million.

	1962 ACCOUNTS	1963 ACCOUNTS	1964 ACCOUNTS	1965 BUDGET[1]
A. Total revenue	7,609	8,317	9,213	10,397
B. Purchase of goods and services, and transfers	7,228	8,078	8,901	10,381
1. Current expenditures	2,786	3,072	3,563	4,271
2. New buildings, construction, etc.[2]	1,470	1,502	1,637	1,751
3. Transfers to others	2,972	3,504	3,701	4,359
C. Surplus on current and investment account (financial savings)	381	239	312	16
D. Loan transactions	1,436	1,372	1,612	1,378
1. Loans to State Banks (incl. interest-free loans)	738	728	814	841
2. Debt redemption	642	589	606	499
3. Other loans, share subscriptions, etc.	71	71	212	55
4. Redemption payments received	−15	−16	−20	−17
E. Cash deficit	1,055	1,133	1,300	1,362
of which, covered by borrowing	866	1,190	1,282	..
Changes from previous year, per cent:				
Total revenue	9.6	9.3	10.8	12.9
Purchase of goods and services, and transfers	12.9	11.8	10.2	16.6
1. Current expenditures	17.4	10.3	16.0	19.9
2. New buildings, etc.[2]	20.0	2.2	9.0	7.0
3. Transfers	6.0	17.9	5.6	17.8

1. The approved budget plus supplementary appropriations approved or proposed up to 10th March, 1965.
2. Defence building and construction included.
Source: Revised National Budget, 1965.

The 1965 budget was influenced by two aims which in the present situation are in conflict with each other. On the one hand, it was considered necessary to continue the improvement in public services, such as education, communication facilities, etc. There has also been a transfer of responsibilities from the municipalities to the Central Government according to a plan drawn up in 1962. On the other hand, as pointed out in last year's OECD Survey of Norway, there was a need to counteract, by means of fiscal policy, the rapid growth in total domestic demand. The first of these aims has clearly got the upper hand in the preparation of the budget. Total spending for goods and services will increase by about 16 per cent

in current prices, compared with an increase of 14 per cent in the preceding year. Defence expenditures are estimated to increase by as much as 13 per cent, while expenditure on building and construction (excluding defence) is rising by 5 per cent, less than the year before. To reduce the expansionary effect on demand, the Government has been authorised by the Storting to spend less in this field than envisaged in the budget; subsequent decisions entail savings of some Kr. 40 million on this account. There will also be a considerable increase in transfer payments. Together with an ordinary growth in revenue, this strong increase in expenditures would have led to an unjustifiable large deficit on the fiscal budget. It was therefore deemed necessary to increase the rate of the general sales tax from 10 to 12 per cent of final sales value. This would increase budget revenue by about 8 per cent, but with an increase in subsidies to offset the effect on the consumer price index, the net rise in revenue was smaller (5.5 per cent). Government receipts are also affected by some reduction in direct tax rates to prevent an accentuation of the progressiveness of the tax system because of rising nominal incomes. Altogether, total revenues are expected to show a somewhat smaller growth than government expenditure, and the budget thus envisages a decline in financial savings. Because net payments on loan transactions are smaller than last year, the increase in cash deficit is of minor magnitude and likely to be covered by increased long-term borrowing.

Credit Policy

Policies to limit credit expansion have generally consisted of measures to influence bank liquidity, and agreements with the credit institutions aimed at a direct impact on the supply of credit. In 1964, the increase in liquidity resulting from the Government's transactions was much smaller than in the preceding year, mainly because of an increase in long-term borrowing (see Table 6). The Central Bank also operated so as to restrict the growth of bank reserves, but the banks and the general public increased their liquidity by borrowing abroad. The combined increase in liquid assets of the bank and the non-bank sectors was therefore rather stronger in 1964 than in 1963.

At the end of each year the Joint Consultative Council — consisting of representatives of the authorities, the banks and the insurance companies — defines the credit policy to be followed, adjusting the credit expansion aimed at as far as possible in accordance with the major objectives of economic policy. The agreement for 1964 fixed ceilings for the increase in bank credit and required the credit institutions to increase their holdings of government or government-guaranteed bonds; the obligations and the implementation of the agreement are summarised in Table 8. Bank credit expanded rather more than envisaged and the banks' purchases of bonds were smaller than stipulated in the agreement.

Table 6. SUPPLY OF LIQUIDITY

Kr. million.

	1962	1963	1964
Increase in banks' liquid assets	−17	40	123
Increase in privately held liquid assets	205	286	226
Total liquidity supply	188	326	349
Of which:			
Through transactions of the Central Govt.:			
1. Loans to State Banks[1]	663	652	733
2. Amortisation of internal loans	344	344	322
3. *Minus* reduction of liquidity resulting from domestic borrowing	615	653	869
4. *Minus* reduction of liquidity resulting from current surplus[1]	287	135	129
	105	208	57
Through transactions of the Central Bank:			
1. Ordinary transactions	4	−33	−29
2. Net purchase of foreign exchange from banks and public	79	151	321
	83	118	292

1. Interest-free loans are included in item 4.
Source: Revised National Budget for 1965.

Table 7. NET INCREASE IN LOANS FROM MAJOR DOMESTIC CREDIT SOURCES AND FROM FOREIGN SOURCES

Kr. million.

	1962	1963	1964
Commercial banks:			
Norwegian kroner	441	406	591
Foreign exchange	127	6	140
Savings banks	454	484	458
Life insurance companies	316	321	350
State Banks	624	665	696
Loan associations	230	133	320
Bond Market[1]	247	304	309
Increase in loans from domestic credit sources	2,439	2,319	2,864
Shipping companies' borrowing abroad (net)	515	1,098	344
Other private and municipal borrowing abroad (net)[2]	598	355	465
Total increase in borrowing	3,552	3,772	3,673

1. Net borrowing from other than Government and credit institutions.
2. Corrected for changes in foreign exchange reserves.
Source: Norwegian submission to OECD.

TABLE 8. OBLIGATIONS OF THE CREDIT AGREEMENT, AND ACTUAL DEVELOPMENT

Kr. million.

	OBLIGATIONS UNDER CREDIT AGREEMENT 1964	REALIZED FIGURES	MAIN OBLIGATIONS UNDER CREDIT AGREEMENT 1965
Commercial banks:			
Increase in loans in N.kr.	Max. 505—36[1]	591	Max. 450
Increase in loans in foreign currencies	Max. 100+57[2]	140	Max. 100
Increase in total bond holdings	Min. ..	240	
Of which:			
Government and Government guaranteed bonds	" 0	115	
Others	" .. [3]	125	
Savings banks:			
Increase in loans	Max. 344	458	Max. 436
Increase in total bond holdings	Min. ..	22	Min. 30 per cent of total increase in deposits, interests excluded
Of which:			
Government and Government guaranteed bonds	" 72	6	
Others	.. [4]	16	
Life insurance companies[5]*:*			
Increase in total bond holdings	255+23[6]	308	Min. 250[7]
Of which:			
Government and Government guaranteed bonds	113+23	163	
New Government loan subscriptions	130	183	

1. Transfer of long-term loans to A/S Forretningsbankenes Finansierings og Eksportkredittinstitutt against bearer bonds. Under the Agreement such conversions shall lead to a corresponding reduction in the loan ceiling agreed.
2. Loans for shipbuilding on foreign account at Norwegian yards approved by Norges Bank as extra to the Agreement.
3. No quantitative target fixed.
4. 10 per cent of the increase in deposits, i.e., 24 million kroner, within the limits set in the Savings Bank Act, Section 24, pt. 1 and Section 25.
5. Targets reckoned on the basis of a growth in the companies' total resources of 550 million kroner.
6. Since the increase in the life insurance companies' total resources exceeded the assumption in the Agreement, the companies should expand their holdings by 23 million kroner more than the original target. This increase took place in 1964.
7. Based on an estimated growth in the companies' total resources of 600 million kroner.

Source: Norwegian submission to OECD.

The credit agreement for 1965 aims at a smaller increase in bank credit than that realised in 1964. But in the early months of the year, advances were rising much faster than assumed in the agreement. In April the Joint Consultative Council re-affirmed the importance of observing the agreement and recommended that a penalty rate of 2 per cent, in addition to the normal rate, ranging from 3.5 per cent upwards, be applied on loans from the Bank of Norway to banks which increase their advances more than assumed in the agreement; the penalty rate was introduced in May.

On the basis of the report of the Royal Committee on Money and Credit, new legislation has been adopted, extending the authorities' monetary policy instruments. The Government is thereby authorised to:

a) request the commercial and savings banks to maintain minimum reserves of primary and secondary liquid assets, defined in relation to the banks' liabilities,

b) request the commercial and savings banks to maintain a supplementary reserve fixed in relation to the increase in their lending; the reserve should be deposited with the Central Bank,

c) request the commercial and savings banks to maintain a special exchange cover reserve, fixed in relation to the increase in their deposits and loans from foreigners,

d) request the commercial and savings banks, life insurance companies and pension funds not to reduce their holdings of Norwegian bearer bonds and to invest in such bonds a certain proportion of any increase in their total resources; the authorities could require part of the obligatory investment to be made in Government bonds,

e) issue directives regulating the lending activities of the general insurance companies and certain credit institutions,

f) fix maximum rates of interest on various types of loans,

g) determine that bond issues can be floated only after agreement from the Ministry concerned.

The Ministry of Finance would, according to the bill, be given authority to require the credit institutions to:

h) provide information on their lending activities and their financing,

i) inform the Central Bank on the interest rates governing their deposits and advances.

The provisions of the bill are formulated in such a way that, if they become law, they can be applied selectively to individual groups of institutions according to size and location. It is assumed in the bill that monetary and credit policy will continue to be based to a large extent on co-operation between the credit institutions and the authorities. It is stated that it would be an advantage if the application of the new policy instruments could be discussed between the credit institutions and the authorities in the existing Joint Consultative Council.

II. LONGER-TERM TRENDS AND PROBLEMS

In the first half of the 1960's output has been expanding much faster than in the last decade, and the Government's long-term programme for the four years 1966 to 1969 envisages the continuation of this trend.

But there has been a rather persistent tendency for demand to rise faster than production, with strong pressure on the foreign balance and prices. The current external deficit has therefore been higher than planned by the authorities, with a stronger increase in foreign indebtedness than intended. The following paragraphs review briefly the main factors behind the acceleration of economic growth in the 1960's, and discuss policies relating to the foreign balance and costs and prices.

Economic Growth

The expansion has been strong in all major groups of sectors except agriculture, forestry, fishery and whaling. In the latter the annual growth in productivity was small in spite of the continued decrease in employment. This was, however, partly due to comparatively bad harvest conditions in the last year.

TABLE 9. INCREASE IN REAL CAPITAL, EMPLOYMENT AND PRODUCTION, 1950-1964

Per cent per year, constant prices.

		AGRICULTURE, FORESTRY, FISHERY, WHALING	INDUSTRY[1]	SHIPPING	SERVICES	TOTAL
Increase in real capital	1951-55	1.6	6.8	6.8	4.5	4.5
	1956-60	1.4	5.0	7.1	4.0	4.0
	1961-64	0.9	6.0	3.8	4.1	4.0
Increase in employment	1951-55	−3.1	1.1	1.7	1.9	0.2
	1956-60	−2.8	−0.4	3.8	1.5	−0.1
	1961-64	−2.5	1.0	0.0	2.0	0.6
Increase in G.N.P.	1951-55	0.3	4.1	7.0	4.4	4.0
	1956-60	0.5	3.4	7.7	3.5	3.7
	1961-64	−1.2	5.6	7.6	5.5	5.2
Increase in G.N.P. per employed	1951-55	3.4	3.0	5.2	2.5	3.8
	1956-60	3.4	3.9	3.7	2.0	3.9
	1961-64	1.5	4.8	7.5	3.4	4.6

1. Including electricity production, and building and construction activity.
Source: Long-Term Programme 1966-1969.

On the supply side the most important factor behind the acceleration of the last five years has been the faster increase in employment. The 1950's showed practically no increase in employment (0.1 per cent over the whole decade). But since then the number of employed has risen

by more than 3 per cent, or 0.6 per cent a year. The high level of investment has also played an important role. On the demand side, in addition to the strong increase in aggregate expenditure, a major factor has been the fact that the rise in demand has been better adapted to capacity conditions in individual sectors than earlier. This was particularly important in the export industries in 1964 when capacity utilisation rates were high in most industries.

The acceleration of the expansion has been ccompanied by a decline in the marginal capital-output ratio[1] — a given increase in investment yielding a higher output increase. In the 1950's this ratio had been much less favourable than in most other countries. In recent years it has been more in line with the rates prevailing elsewhere.

The long-term programme for 1966 to 1969 envisages an increase in real gross national product of 20 per cent, or 4.7 per cent a year. With an estimated annual increase in employment of 0.7 per cent, output per employed person is expected to rise by 4 per cent a year. More than in the 1950's, this is less than in the 1961 - 1964 period; but if the shipping sector is excluded, the rate is about the same as that achieved in the past five years. If the growth target is achieved, real GNP will have increased by 60 per cent in the 1960's, exceeding the 50 per cent set as a collective target for the OECD. The programme is based on the assumption of

TABLE 10. LONG-TERM PROGRAMME 1966-1969[1]

	1965[2]	1969	AVERAGE ANNUAL INCREASE
	MILL. KR		PER CENT
Gross National Product	52,310	62,750	4.7
Consumption	33,720	39,300	3.9
Private consumption	27,150	31,400	3.7
Public consumption	6,570	7,900	4.8
Gross fixed capital formation	19,130	21,700	3.1
of which: shipping	4,360	3,650	—4.4
Change of stocks	100	500	—
Exports	20,350	25,900	6.2
of which: merchandise	9,150	12,080	7.2
Imports	20,990	24,650	4.1
of which: merchandise, excluding ships	13,200	16,630	6.0
Gross saving	18,590	23,450	6.0

1. According to Norwegian national account definitions.
2. Revised National Budget 1965.

Source: The Norwegian Long-Term Programme 1966-69.

1. The ratio between gross fixed asset formation over a certain period and the growth in output over the same period.

continued strong expansion of world trade, Norway's exports of goods and services increasing, in real terms, by more than 6 per cent a year.

The programme aims at maintaining a high rate of gross fixed asset formation; excluding ships, this is expected to rise somewhat faster than GNP, but with an expected decline in investment in ships from the 1965 level, the rate of total investment, although remaining considerable, is expected to decline slightly. The increase in investment is expected to be particularly strong in industry and residential construction, but the pattern of expansion in industry is not expected to change much. The programme aims at a continued strong expansion of energy-intensive industries, particularly in production and exports of base metals and chemicals. Output of hydro-electric energy is therefore a key factor; over the next four years, production capacity of electricity is expected to increase by almost 30 per cent, largely as a result of the completion of projects already under construction. A number of new projects are planned, but most of these will not be completed until the 1970's. The programme suggests that the development of other energy sources will become more important, both because the unexploited potential of Norwegian hydro-electric resources is diminishing, and because prices of other types of energy — notably natural gas and atomic energy — are declining in relation to the price of domestic hydro-electric power.

The programme is based on a policy of continued capital imports, but increased national savings (in constant prices at least) are expected to reduce the current deficit and the need for foreign capital. Taking into account contractual redemption of existing debts, but excluding shipping credits, gross borrowing is expected to decline from Kr. 920 million a year in the 1962 - 1965 period to Kr. 790 million a year in the 1966 - 1969 period.

Balance of Payments

The post-war period has normally seen Norway running a relatively large current deficit but receiving a rather higher volume of capital imports; as a result, there has been a fairly steady but moderate rise in gross official reserves. Last year's OECD survey of Norway[1] discussed the main factors underlying this position. In brief, there has been a deliberate policy of high investment based partly on capital imports. Structural factors related to the pattern of the country's natural resources, favouring development of very capital-intensive industries such as hydro-electric power production, basic metal and chemical industries, and shipping, have been behind this policy. During most of the post-war period about 30 per cent of the gross national product has been devoted to investment, compared

1. Economic Surveys by the OECD, Norway, OECD, Paris, June 1964.

with an average rate for European Member countries of 20 per cent. In the 1950's about 10 per cent of net capital formation was financed by capital imports. In the first half of the 1960's the proportion rose to some 20 per cent.

The last OECD Survey concluded that a continued import of foreign capital would seem reasonable, given Norway's structural characteristics and the fact that the foreign debt and the amounts required for its servicing did not seem to be excessive. But the Survey suggested that it might be prudent to aim at some decline in the need for foreign capital because of uncertainties with regard to the possibilities of raising long-term capital abroad at reasonable terms on a continuing basis. Since credits for ship imports are normally granted by the shipyards, the problem of financing the external deficit is best discussed in terms of the need for capital imports excluding net shipping credits. The long-term programme for 1966 - 1969 aims at a decline in the current deficit and, therefore, the need for foreign borrowing.

The Norwegian authorities feel that a prerequisite to improving the balance of payments is the ability and willingness of the main importing countries to pursue a liberal import policy. Norway is, owing to the structure of her economy and the position of her exports, highly dependent on economic developments in Western Europe and the import policy of the European countries. In the last few years, exports to EFTA countries have increased very fast, but demand restraints and the import surcharge applied by the United Kingdom, which takes more than 20 per cent of total Norwegian merchandise exports, make prospects for exports to this market rather uncertain. Exports to the EEC countries amounted in 1964 to nearly 28 per cent of Norwegian exports. About 40 per cent of these consist of products to which the EEC countries consider that special protection must be given[1]. The products which the EEC countries have decided to exempt wholly or partly from the general tariff reduction in the Kennedy-round represent about 50 per cent of Norwegian exports of industrialised goods to EEC countries. The most important of these products are pulp and paper, iron and steel, ferro-alloys, aluminium and zinc. In addition, it is still uncertain to what extent it will be possible to find a solution by which tariffs on fish and fish products can be reduced

1. These products include:

a) the products included in List G of Annex I of the Treaty of Rome and for which the common external tariffs have been fixed by means of negotiation between the Member States, and which are generally higher than the arithmetical average of the national rates previously applied.

b) food, i.e., the products referred to in "Title II. Agriculture" of the Treaty of Rome and listed in its Annex II; these products, of which the most important for Norway are fish and fish products, are affected by import barriers in one form or another;

by 50 per cent. The EEC global import tariff quotas are of great importance for Norwegian exports to the Common Market. The Norwegian authorities are very much concerned about the problems likely to arise if the tariff quotas were to be eliminated before a solution was found which would imply a considerable reduction of the common tariff for the products concerned.

The reduction of the external deficit will raise two sets of domestic problems.

a) The rate of increase of domestic demand will have to be kept below that of the increase in production. This may well require a rather tighter policy of demand management than that applied in recent years. Reduction of the current external deficit will require a higher overall savings ratio. The proposed new national pension scheme which is planned to start in 1967 — entailing an important accumulation of capital — should, if adopted, lead to some increase. Preliminary estimates suggest that the accumulation of funds would increase rapidly, but the effect of this will only be felt towards the end of the coming long-term plan period. But it is important to ensure that the resulting increase in savings is not offset by other factors. In particular it would seem desirable to arrest or reverse the declining trend in government financial savings; in the central government budget these have declined from about Kr. 500 million in 1960 to practically nothing in the present year.

b) The second problem is to ensure that the resources released for improving the external balance do, in fact, increase net exports. This means that the competitive position of Norwegian industry must at least be maintained and, preferably, improved. The competitive position depends on many things — quality, product adaptation, export credits, marketing efforts and delivery dates. And one of the most important factors lies in relative prices and costs.

Costs and Prices

Price and incomes policies have probably been more actively used in Norway than in many other countries. In spite of this, the rise in prices has been considerable and no less than in many other countries. This is not necessarily a test of domestic economic policy, because it is difficult for a small country with a large foreign trade to avoid increases in costs and prices which reflect trends abroad. Such countries are, ineluctably, affected by higher import prices which, directly or indirectly, serve to push up domestic price indices; and inflation abroad increases the scope for higher costs and prices without jeopardizing competitiveness.

The importance of these factors is difficult to assess. But the relative stability of both import and export prices since 1959 suggests that factors domestic to Norway have played a major role in recent years. This does not necessarily mean that the instruments of price and incomes policy, or the way in which they have been used, have been inappropriate. Prices and costs are determined quite as much by demand management, labour market measures and policies affecting productivity. Clearly, if the pressure of demand is persistently too high, no incomes policy will succeed in stabilising prices. And there are, in fact, indications that a basic difficulty has been a tendency for the pressure of demand to be too high from the point of view of economic stability.

TABLE 11. INCREASES IN CONSUMER PRICES IN SELECTED COUNTRIES

Per cent.

	1953 TO 1 QTR. 1965	1955 TO 1 QTR. 1965	1957 TO 1 QTR. 1965	1960 TO 1 QTR. 1965	1963 TO 1 QTR. 1965
Norway	46	39	31	21	9
Denmark	49	37	29	26	6
Sweden	45	39	28	17	6
Germany	26	24	18	13	4
France	59	58	51	19	5
Belgium	23	22	15	12	7
Netherlands	39	31	21	15	5
Italy	45	38	32	26	10
U.K.	41	32	21	16	6
U.S.A.	17	17	12	6	2

Source: OECD General Statistics.

But achievement of a more appropriate demand-management policy is quite unlikely to dispense with the need to develop adequate policies in respect of prices and incomes. In this respect, Norwegian policy to date has been concerned not only to maintain or improve the competitive position of Norwegian industry, but to increase the real incomes of farmers and fishermen at least in step with those of industry; and in the non-farm sector it has been an aspect of social policy to achieve a narrowing of wage differentials.

The main instruments of this policy have been:

a) government efforts to develop a system of income determination conducive to financial stability;
b) price regulation;
c) subsidy policy.

a) *Income Determination*

Since the early 1950's, following strong official intervention in the early post-war period, the determination of wages has been the responsibility of the labour market organisations. Wage contracts generally cover a period of two years, and there is normally an opening for re-negotiation if prices rise by more than a specified amount. Wage negotiations are centralised in large groups of wage earners. In most cases contracts covering about two-thirds of union membership come up for re-negotiation during a period of three to four months. The authorities have been in favour of centralised settlements on the assumption that the "national interest" tends to be a matter of higher priority in centralised than in decentralised bargaining.

In recent years, government efforts to co-ordinate the income settlements of the wage earners, farmers and fishermen have been an important feature of incomes policy. In September 1962, well before the expiration in 1963 of most wage contracts and the agreement on farm prices, an unofficial contact group was established consisting of the Prime Minister, the Minister of Finance, the Minister of Prices and Wages, and representatives of the trade unions, the employers' associations and the farmers' and fishermen's organisations. The group held several meetings, the purpose of which was to keep the various organisations informed of the economic situation and provide their representatives with an occasion for discussions before the parties had fixed their strategy for the wage and income negotiations. In later meetings the parties kept each other informed of the development of their own wage negotiations and of the negotiations between the authorities and the farmers. This no doubt helped to achieve co-ordinated settlements which, on average, provided for a wage increase of 2.5 per cent and a similar relative increase in farmers' prices. But the settlements covered only one year, and the agreement was based on the assumption that the Government would contribute to the stabilisation of prices, through the rest of the year, by increasing consumers' subsidies.

In 1964, the Government again made use of the unofficial contact group, but the subsequent wage negotiations broke down and eventually the dispute was referred to the official arbitration court (see p. 9). The contact group was also an important instrument in the authorities' efforts to influence the re-negotiation of incomes early in 1965 which was occasioned by the rise in the cost-of-living index. A novel element this year was the establishment of a group of experts, representing the Government, agriculture, and the two labour market organisations, to report on matters of fact and, thus, relieve the contact group from purely factual discussion.

The "contact group" seems to represent an important step forward in incomes policy. Progress in this field is probably bound to be both difficult and slow, given the nature of the task of income co-ordination, and the

change in attitudes required for its success. It is therefore not surprising that the first results should have been somewhat mixed. What is important is that a machinery for co-ordination now exists, and that all parties seem to be willing to participate in its further development.

b) *Price Regulation*

The authorities have wide powers to regulate prices and profit margins and to intervene in restrictive business practices. This is the main instrument used to influence non-wage incomes. At the beginning of each year the Government submits a report to the Storting on the guiding principles it intends to follow. The extent to which price control has been used has varied with the situations. In 1964 about 50 per cent (by value) of the goods and services covered by the cost-of-living index were subject to various types of price control:

Maximum prices apply to a number of agricultural commodities, transport and hospital rates.

A price stop has recently been used for prices and profits fixed by restrictive business agreements.

Regulation of profits at present applies to a number of foodstuffs and their transformation.

Retail price maintenance is prohibited, and efforts are being made by the authorities to strengthen competition, partly by a progressively more liberal import policy.

c) *Subsidy Policy*

Price subsidies constitute an important instrument in Norwegian economic policy. At present they can be said to serve three main purposes: redistribution of incomes, agricultural support, and price stabilisation. It is impossible, however, to distinguish clearly between these purposes. Agricultural support will thus contain a strong element of redistribution, and stabilisation policies are also of importance for income distribution.

Although the Norwegian tax system as a whole is strongly redistributive, both among income and family size groups, the general sales tax, now at 12 per cent, has met with considerable opposition on the grounds that it is proportional and thus by itself has no redistributive effect. There has in particular been a demand for exemption of food from this tax. Both for technical reasons and in order not to open the way for further exemptions, the Government has wished to prevent such an exemption. Therefore, to obtain broad acceptance of the general character of the tax, the principle has been established that an amount about equal to the sales

tax on food (for 1965 expected to be about 900 million kroner) should be used for price subsidies on consumer goods. One difficulty about this principle has been to determine which price subsidies should be considered as being on consumer goods and thus constituting a counterpart of the sales tax on food. This question has never been formally solved, but in practice a rather wide definition of consumer subsidies (as distinct from producer's subsidies) has been accepted. When comparing subsidies in Norway and other countries, as in Table 12, it is important to bear in mind that the Norwegian subsidies to a considerable extent replace exemptions which are applied in many other countries. With this reserve, price subsidies have constituted a higher proportion of GNP than in most Member countries other than Iceland. The proportion has been fairly stable since 1952, despite frequent short-term fluctuations.

TABLE 12. SUBSIDIES IN PER CENT OF GNP (CURRENT MARKET PRICES) IN SELECTED COUNTRIES

	AVERAGE 1952-55	AVERAGE 1956-59	AVERAGE 1960-63
Norway	4.2	4.5	4.4
Sweden	1.1	1.3	1.3
Denmark	0.6	0.3	0.9
Iceland	5.7	14.3	5.9
Fed. R. of Germany	0.3	0.7	0.8
France	1.4	1.7	1.9
United Kingdom	2.3	1.8	2.1
Netherlands	0.6	1.5	1.0
Italy	0.9	1.3	1.5
Belgium	1.0	1.3	1.2
Austria	1.9	1.7	1.9
Switzerland	0.8	0.9	1.0

Source: OECD Statistics of National Accounts.

An important element of Norwegian incomes policy has been to achieve an increase in agricultural incomes commensurate with those in other occupations. As climatic and topographic conditions for agriculture are in general less satisfactory than in most other countries, this has demanded rather extensive measures. These are partly directed towards rapid rationalization together with creation of job opportunities in other industries, and partly towards income transfers from the rest of the economy while maintaining protection from foreign competition. These transfers support, simultaneously, agriculture and the income level in the most sparsely populated areas. The most important income transfers are price subsidies for agricultural products (mainly milk and milk products) and price reductions on raw materials for agriculture. Incomes in agriculture could, of

course, have been supported by higher prices to consumers, but it would hardly have been possible to achieve the present income level only with this means of support.

Price subsidization to stabilise prices was introduced during the Second World War. It was continued in the early post-war years to shield the domestic price level from the rise in world market prices, then thought likely to be temporary. The cost-of-living index was kept nearly constant from the summer of 1945 to the early months of 1950. But as import prices continued to rise, a growing volume of subsidies was required to keep domestic prices stable. Devaluation in the fall of 1949 and the outbreak of the Korean war in 1950 made it impossible for the Norwegian Government to maintain domestic prices at the same level, and subsidies were considerably reduced. But they were soon increased again in an effort to stabilize prices at a higher level. Since then the Government has continued to use price subsidies as an instrument of price policy.

Thus, in several cases, price subsidies have been increased in order to prevent a rise in the cost-of-living index which would justify new wage and income negotiations before the expiration of the existing contracts. Such increases of subsidies were in most cases supposed to be temporary with the reduction taking place just before the normal wage and income negotiations. Although this would lead to higher wage claims, it was thought that the total increase in nominal incomes would have been greater if there had been an increase in connection both with an index settlement and with the normal negotiations. Occasionally, however, the reduction of subsidies has been postponed or curtailed, in order not to complicate negotiations.

On two occasions, in 1963 and 1965, the Government increased subsidies to convince wage earners that the purchasing power of their wage increases would not be lost, and thus obtain their acceptance of a rather modest wage settlement. The subsidy increases have been considered as the Government's contribution towards an agreement. This line of reasoning makes the Government a party to the negotiations in addition to having a mediating and target-setting role in the process of income formation. Higher subsidies clearly conceal the full price effect of agreed income increases, making the public less aware of their implications. Nevertheless, an increase in subsidies may, in a given situation, be found preferable to the available alternatives. But they can, ultimately, become too great a burden for the budget.

Mainly because of the policy of price subsidization, consumer prices in Norway have been characterised by periods of comparative stability interrupted by rapid increases. In the long run, the increase in consumer prices has not been markedly different from that in many other European countries. It cannot be concluded from this that the policy of price subsidies has failed, since it is impossible to say whether the rise in prices

would or would not have been stronger if more frequent index revisions of wage contracts, with smaller price rises at the time of the regular negotiations, had been permitted. The Norwegian authorities feel, however, that avoidance of index revisions has moderated the growth of nominal incomes.

But there are also some unfavourable effects involved in an extensive use of subsidy policy. The need for an increase in subsidies tends to coincide with conditions of strong pressure of demand, thus having some undesirable demand effect. This was clearly the case with the increases in subsidies effected both in 1964 and 1965. The weakening of budget policy has probably been one element underlying the strong pressure on resources which has been a recurrent theme in official economic policy statements. Moreover, the large amount of subsidies — 10 to 12 per cent of central government revenue in recent years — calls for a higher average rate of taxation than the one that otherwise would have been needed, thereby reducing the Government's scope for manœuvre in the operation of fiscal policy for anti-inflationary purposes.

This analysis would seem to suggest that price subsidies have had an important role to fulfil, both with respect to income distribution and agricultural policies. Temporary changes in their amount may constitute a useful policy instrument when a large proportion of wages and other incomes are regulated by the cost-of-living index. And the general absence of work stoppages during most of the post-war period may also, to some extent, have been due to the role of price subsidies in the wage-negotiation process. On the other hand, the demand effects of increases in price subsidies may run contrary to other aims of economic policy, and higher subsidies conceal the consequences of excessive increases in nominal incomes. It would be desirable to explore the possibility of achieving the favourable effects of the policy at lower levels of total price subsidies.

III. SUMMARY AND CONCLUSIONS

The expansion of economic activity accelerated strongly in 1964, led by a sharp increase in exports. The advance should continue in 1965, but at a somewhat lower rate than last year, mainly because existing resources are very fully employed. Taxes have been increased and efforts are being made to restrict the credit expansion, but because the Government considered that it was necessary to give priority to an increase in public expenditure, these measures have not prevented a weakening of the government budget and a considerable increase in bank credit. The strain on resources is growing rather than diminishing, with persistent pressure on prices and the foreign balance.

While, thus, economic activity is expanding at a satisfactory rate — and the 1966 - 1969 long-term programme seeks to prolong this trend — the balance of payments remains a problem and the price situation is difficult. The long-term programme aims at a decline in the current external deficit. This would seem to be a reasonable objective, given the international payments situation and the difficulties in raising long-term capital abroad at reasonable terms. But its realisation is dependent on whether the conditions for Norwegian exports in the main OECD countries are favourable. And the achievement of a better foreign balance will entail an increase in the national savings ratio and a switch of resources from domestic use to net exports. This is likely to require some change in policies, notably a tighter budget with a higher rate of public savings. It is also important to maintain — or, preferably, improve — the competitive position of Norwegian industry.

The authorities have been very active in the field of income and price policies. Progress is being made in establishing a better system of income determination. While much remains to be done both with respect to institutions and results, machinery now exists for co-ordinating the income settlements of wage and salary earners, farmers and fishermen. Various forms of price regulation are used to influence non-wage incomes. Apart from the role it has played in influencing the income distribution and in agricultural policy, subsidy policy has limited the premature re-negotiation of income settlements, and may, thus, have restrained the course of nominal incomes.

But a continuing difficulty has been the tendency for the pressure of demand to be too high, with adverse effects on both prices and the foreign balance. It is probable that a lower level of price subsidies would have given the Government a greater margin for operating an active disinflationary policy. Some reduction in their level would therefore seem desirable. This will not be easy, since it is likely to lead to fairly immediate pressure for higher wages and other incomes. But policies in this direction should contribute to a reduction of the pressure of demand and thereby improving the prospects for greater price stability and a reduced current external deficit.

STATISTICAL ANNEX

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Table I. GROSS NATIONAL PRODUCT AND EXPENDITURE

1958 prices.

	N. KR. MILLION					PERCENTAGE DISTRIBUTION					PERCENTAGE CHANGE			
	1951	1955	1961	1963	1964	1951	1955	1961	1963	1964	1951 1955[1]	1955 1961[1]	1961-1963[1]	1963-1964
1. Private consumption	13,814	15,853	19,611	20,867	21,704	60	59	59	58	56	4.1	3.6	3.2	4.0
a) Durables	881	1,324	2,202	2,391	2,626	4	5	7	7	7	10.8	8.9	4.2	9.8
b) Other	12,933	14,529	17,409	18,476	19,078	56	54	52	51	49	3.0	3.1	3.0	3.3
2. Public consumption	2,970	3,611	4,602	5,247	5,480	13	14	14	15	14	5.0	4.1	6.9	4.4
a) Defence	718	978	1,005	1,197	1,151	3	4	3	3	3	8.1	0.4	9.4	−3.8
b) Civil	2,252	2,633	3,597	4,050	4,329	10	10	11	12	11	4.0	5.4	6.2	6.9
3. Gross domestic fixed ass. form.	6,491	8,526	9,973	11,406	11,635	28	32	30	32	29	7.7	2.9	7.1	2.0
a) Residential construction	1,143	1,424	1,409	1,465	1,487	5	5	4	4	4	5.6	−0.1	1.9	1.5
b) Other construction	2,139	2,594	3,122	3,610	3,847	9	10	10	10	10	5.2	3.1	7.7	6.5
c) Transport equipment	2,182	2,825	2,010	3,587	3,311	9	11	9	10	8	6.7	1.1	9.5	9.2
d) Other equipment	1,027	1,683	2,432	2,744	2,990	5	6	7	8	7	13.1	6.1	6.3	8.9
4. Change in stocks	919	90	536	−94	552	4	0	2	0	1	.	.	.	.
5. Exports of goods and services	8,221	10,109	15,224	17,922	19,999	35	38	46	50	52	5.3	7.1	8.7	11.6
6. Imports of goods and services	9,231	11,450	16,565	19,252	20,781	40	43	50	53	54	5.5	6.4	7.8	7.9
7. Gross National Product at market prices	23,184	26,739	33,381	36,096	38,589	100	100	100	100	100	3.6	3.8	3.9	6.9
8. Gross National product at factor cost	20,873	24,060	29,991	32,422	34,664	100	100	100	100	100	3.6	3.8	3.9	6.9
a) Agriculture, forestry and fishing	3,019	3,005	3,057	2,697	2,890	15	12	10	8	8	−0.1	0.2	−5.7	7.1
b) Manufacturing, mining and public utilities	6,141	7,120	9,229	10,227	11,181	29	30	31	32	32	3.8	4.4	5.3	9.3
c) Construction	1,710	1,978	1,916	2,111	2,290	8	8	6	6	7	3.7	−0.4	5.0	8.5
d) Other	10,003	11,957	15,789	17,387	18,303	48	50	53	54	53	4.6	5.0	4.9	5.3

1. Annual average.

Source: Norway's submission to the OECD.

Table II. GROSS NATIONAL PRODUCT AND EXPENDITURE

Current prices.

	N. KR. MILLION					PERCENTAGE DISTRIBUTION					PERCENTAGE CHANGE			
	1951	1955	1961	1963	1964	1951	1955	1961	1963	1964	1951-1955[1]	1955-1961[1]	1961-1963[1]	1963-1964
1. Private consumption	10,880	14,356	20,561	23,223	25,329	58	60	58	58	56	7.8	6.1	6.3	9.1
a) Durables	794	1,286	2,339	2,561	2,860	4	5	6	6	6	13.5	10.9	4.6	11.6
b) Other	10,086	13,070	18,222	20,662	22,469	54	55	52	52	50	6.7	5.7	6.5	8.7
2. Public consumption	2,064	3,055	5,014	6,418	6,985	11	13	14	16	15	10.3	9.0	13.3	8.8
a) Defence	544	866	1,104	1,430	1,446	3	4	3	4	3	13.3	4.1	14.3	1.1
b) Civil	1,520	2,189	3,910	4,988	5,539	8	9	11	12	12	10.2	10.2	13.3	11.0
3. Gross domestic fixed ass. form.	4,563	7,365	10,541	12,277	12,819	24	31	30	30	29	13.4	6.1	8.0	4.4
a) Residential construction	857	1,280	1,545	1,712	1,780	4	5	4	4	4	10.5	3.2	5.2	3.9
b) Other construction	1,441	2,147	3,357	4,213	4,634	8	9	10	10	10	10.4	7.8	12.3	10.0
c) Transport equipment	1,326	2,383	3,084	3,430	3,184	7	10	9	9	7	15.8	4.4	5.5	−7.2
d) Other equipment	939	1,555	2,555	2,922	3,221	5	7	7	7	8	14.1	9.0	6.9	10.2
4. Change in stocks	907	81	552	−188	157	5	0	2	0	0	.	.	.	.
5. Exports of goods and services	8,850	9,953	14,390	16,451	19,007	47	41	41	41	43	3.0	6.4	6.9	15.5
6. Imports of goods and services	8,580	10,815	15,817	17,929	19,630	46	45	45	45	44	5.9	6.5	6.4	9.4
7. Gross National Product at market prices	18,684	23,995	35,241	40,252	44,667	100	100	100	100	100	7.0	6.5	6.9	11.0
8. Gross National Product at factor cost	17,048	21,770	31,569	36,057	40,044	100	100	100	100	100	6.3	6.4	5.2	11.1
a) Agriculture, forestry and fishing	2,462	2,952	3,331	3,180	3,609	14	14	11	9	9	4.6	2.0	−2.2	13.5
b) Manufacturing, mining and public utilities	5,299	6,789	9,735	10,979	12,148	31	31	31	31	3	6.9	6.1	6.0	10.6
c) Construction	1,154	1,720	2,299	2,957	3,330	7	8	7	9	8	10.4	5.0	13.6	12.6
d) Other	8,133	10,309	16,204	18,941	20,957	48	47	51	51	52	6.1	8.2	5.2	10.6

1. Annual average.

Source: Norway's submission to the OECD.

Table III. COMPOSITION OF GROSS FIXED ASSET FORMATION

Percentage distribution (current prices).

	1950	1955	1960	1962	1963	1964
Agriculture, forestry and fishing	10.1	9.7	9.1	7.0	6.4	6.5
Mining and quarrying	1.2	0.9	1.3	0.8	0.8	0.8
Manufacturing	17.2	13.9	15.3	18.4	17.1	17.7
Transportation and communication	33.7	34.6	32.3	30.2	33.4	31.2
Dwellings	17.4	17.4	14.7	14.8	13.9	13.9
Other	20.4	23.5	27.3	28.8	28.4	29.9
Total investment	100.0	100.0	100.0	100.0	100.0	100.0
Total investment in per cent of GNP	28.0	30.7	28.8	29.5	30.5	28.7

Source: Norway's submission to the OECD.

Table IV. CENTRAL GOVERNMENT INCOME AND EXPENDITURE[1]

N. Kr. million, current prices.

	1952	1953	1954	1955	1956	1957	1958	1959	1960	1961	1962	1963	1964
1. Current revenue	4,827	4,812	5,066	5,441	6,253	7,431	7,512	8,115	8,513	9,445	10,607	11,465	12,585
Direct taxes	1,667	1,788	1,806	1,932	2,210	2,927	2,884	3,127	3,183	3,533	4,207	4,617	5,279
Indirect taxes	2,902	2,746	2,915	3,120	3,550	3,928	3,981	4,238	4,498	4,964	5,373	5,751	6,156
Other	258	278	345	389	493	576	647	750	832	948	1,027	1,097	1,150
2. Current expenditure	3,687	4,047	4,297	4,412	4,988	5,718	5,792	6,641	7,037	7,699	8,672	9,682	10,703
Purchase of goods and services	1,495	1,725	1,834	1,718	1,902	2,049	2,097	2,281	2,359	2,519	2,900	3,213	3,410
of which:													
Defence	787	955	1,022	860	908	980	962	1,026	1,019	1,100	1,285	1,435	1,446
Civil	708	770	812	858	994	1,069	1,135	1,255	1,340	1,419	1,615	1,778	1,964
Subsidies	989	923	897	962	1,097	1,364	1,187	1,195	1,351	1,467	1,499	1,729	1,731
Interest	163	155	174	219	270	282	290	320	333	361	366	404	452
Current transfers	1,040	1,244	1,392	1,513	1,719	2,023	2,218	2,845	2,994	3,352	3,907	4,336	5,110
3. Net current savings (1—2)	1,140	765	769	1,029	1,265	1,713	1,720	1,474	1,476	1,746	1,935	1,783	1,882
4. Depreciation and other operating provisions	28	28	32	32	37	43	43	49	58	62	235	254	73
5. Gross savings (3+4)	1,168	793	801	1,061	1,302	1,756	1,763	1,523	1,534	1,808	2,170	2,037	1,955
6. Gross fixed asset formation	135	178	193	198	233	258	330	366	403	411	481	571	686
7. Surplus on current and fixed investment account (5—6)	1,033	615	608	863	1,069	1,498	1,433	1,157	1,131	1,397	1,689	1,466	1,269

1. Including State funds and Social Security funds.
Source: Norwegian submission to the OECD.

Table V. PRODUCTION, EMPLOYMENT AND OTHER BUSINESS INDICATORS

	1962				1963				1964				1965
	1st qtr.	2nd qtr.	3rd qtr.	4th qtr.	1st qtr.	2nd qtr.	3rd qtr.	4th qtr.	1st qtr.	2nd qtr.	3rd qtr.	4th qtr.	1st qtr.
1. Industrial production:													
a) Total, seasonally adjusted (1958 = 100)	121	124	124	127	128	130	133	136	140	139	141	143	148
b) Export industries, unadjusted (corresponding quarter 1958 = 100)	118	129	133	126	124	137	141	133	136	156	155	145	151
c) Home industries, unadjusted (corresponding quarter 1958 = 100)	127	133	135	134	132	136	139	140	134	151	147	..	..
i) Capital goods unadjusted (corresponding quarter 1958 = 100)	131	126	128	134	136	133	134	141	140	150	146	157	161
ii) Consumer goods unadjusted (corresponding quarter 1958 = 100)	123	139	141	134	127	139	144	139	128	153	148	140	138
d) Iron and steel works, unadjusted (corresponding quarter 1958 = 100)	137	136	137	136	148	141	139	151	166	176	170	169	198
e) Engineering, unadjusted (corresponding quarter 1958 = 100)	140	137	142	146	147	141	153	154	151	161	156	160	177
f) Wood-processing industry, unadjusted (corresponding quarter 1958 = 100)	121	121	121	118	124	131	135	134	131	155	144	142	147
g) Chemical industry, unadjusted (corresponding quarter 1958 = 100)	141	168	173	158	145	179	181	164	160	209	199	182	184
h) Textile industry, unadjusted (corresponding quarter 1958 = 100)	128	134	123	118	132	141	134	130	141	173	146	142	147
i) Clothing and shoe industry, unadjusted (corresponding quarter 1958 = 100)	121	121	125	122	118	116	127	125	114	138	133	128	128
2. Dwelling units started (Thousands)	4.7	8.0	9.2	7.7	4.4	7.5	7.2	7.0	4.7	8.3	8.6	7.3	4.8
3. Manpower:													
a) Employed wage-earners (Thousands)	1,062	1,065	1,082	1,074	1,060	1,079	1,091	1,082	1,076	1,090	1,102	1,097	1,092
b) Unemployed, seasonally adjusted (Thousands)	12.7	16.0	15.3	17.1	18.4	15.9	17.6	17.3	15.7	15.0	17.6		
c) Jobs vacant, seasonally adjusted (Thousands)	22.7	22.8	22.9	22.9	22.8	23.6	24.9	21.6	21.7	24.2	26.6	25.8	
d) Registered unemployed[1]	2.1	1.1	0.6	1.9	3.0	1.0	0.7	1.9	2.4	0.9	0.7	1.7	2.1
4. Value of orders in metal sector (1958 = 100):													
a) New orders	167	160	142	184	167	187	182	237	224	194	204	235	246
b) Total order stock, end of period	210	210	210	201	201	208	229	239	257	256	273	265	272
5. Stocks in manufacturing and wholesale industries (1958 = 100):													
a) Industry's own products	120	131	134	130	137	140	142	131	133	129	131	125	..
b) Raw materials	96	104	112	108	100	99	105	102	99	103	112	110	..
c) Wholesale trade	111	110	110	122	121	123	121	122	119	117	120	127	..
6. Turnover in retail trade (Corresponding quarter 1958 = 100)	131	134	135	134	138	143	143	141	150	153	156	155	158

1. Registered wholly unemployed as per cent of total employees.

Source: OECD Statistical Bulletins, Statistisk Maanedshefte.

TABLE VI. BALANCE OF PAYMENTS, 1952-1964

$ million.

	1952	1953	1954	1955	1956	1957	1958	1959	1960	1961	1962	1963	1964
Exports of commodities, f.o.b.	557	517	579	634	740	769	727	788	845	882	937	1,017	1,210
Imports of commodities, c.i.f.	802	800	857	902	1,006	1,074	994	1,036	1,260	1,330	1,431	1,520	1,722
Trade balance, excluding ships	−245	−283	−278	−268	−266	−305	−267	−248	−415	−448	−494	−503	−512
Net ship imports	54	101	148	173	160	159	301	263	165	236	194	247	189
Trade balance, including ships	−299	−384	−426	−441	−426	−464	−568	−511	−580	−684	−688	−750	−701
Net freight earnings	306	248	245	309	433	483	405	426	445	463	476	522	589
Other current transactions	4	18	23	18	8	3	11	16	29	37	37	34	33
Current balance	11	−118	−158	−114	15	22	−152	−69	−106	−184	−175	−194	−79
Redemption of debt	28	22	35	22	45	45	43	50	42	42	46	56	50
Balance before borrowing	−17	−140	−193	−136	−30	−23	−195	−119	−148	−226	−221	−250	−129
Capital inflow	47	134	163	183	94	67	241	171	193	260	186	300	170
of which:													
Public borrowing	21	84	73	76	1	13	62	10	52	40	42	84	92
Borrowing of ships, net	−14	29	54	76	45	24	99	120	10	165	72	154	48
Other known borrowing	18	21	30	12	42	18	54	34	118	45	59	44	44
Errors and omissions	22	—	6	19	6	12	26	7	13	10	13	18	−14
Increase in foreign exchange holdings	30	−6	−30	47	64	44	46	52	45	34	−35	50	41

Source: Statistisk Maanedshefte.

Table VII. SHIPPING INCOME AND EXPENDITURE ABROAD

N. Kr. million.

	1951	1952	1953	1954	1955	1956	1957	1958	1959	1960	1961	1962	1963	1964
Net freight earnings[1]	2,192	2,166	1,742	1,695	2,129	2,983	3,311	2,718	2,835	2,949	3,069	3,139	3,431	3,882
Net borrowing abroad	−156	−81	195	380	527	282	105	822	875	61	1,082	540	1,069	272
Net income and borrowing abroad	2,036	2,085	1,937	2,075	2,656	3,265	3,416	3,540	3,710	3,010	4,151	3,679	4,500	4,154
Expenditure on imports of ships[2]	453	385	728	1,055	1,270	1,149	1,167	2,155	1,907	1,219	1,772	1,450	1,840	1,495
Surplus on shipping operations abroad	1,583	1,700	1,209	1,020	1,386	2,116	2,249	1,385	1,803	1,791	2,379	2,229	2,660	2,659

1. Interest on mortgage loans abroad deducted.
2. Less exports of ships.

Source: Norwegian Ministry of Commerce.

TABLE VIII. **CHANGES IN THE LIQUID ASSETS HELD BY THE BANKS AND THE GENERAL PUBLIC**

N. Kr. million.

SUPPLIED (+) WITHDRAWN (—)	1963	1964				TOTAL 1964
		1ST QTR.	2ND QTR.	3RD QTR.	4TH QTR.	
A. The Government:						
1. Cash surplus or deficit on the current budget, Government enterprises and plants, various special accounts, etc.	−135	−274	−90	259	−24	−129
2. Redemption of internal loans and purchase of bonds	344	59	116	55	92	322
3. Government loans to the State banks	652	62	206	72	393	733
4. Current account credits obtained	−9	—	−63	−65	3	−125
5. Internal loans raised by the Government	−644	−238	−161	−115	−230	−744
Total	208	−391	8	206	234	57
B. Norges Bank:						
1. Net purchases of foreign exchange from banks and the general public	151	−128	161	118	170	321
2. Net increase in blocked deposits	−61	−84	−5	−1	—	−90
3. Net increase of Norwegian securities excluding Treasury Bills	28	10	—	8	−14	4
4. Advances and discounts	—	48	80	−70	−1	57
Total	118	−154	236	55	155	292
Sum Government+Norges Bank	326	−545	244	261	389	349
Of which by:						
1. Changes in the note circulation	229	−231	178	75	218	240
2. Changes in deposit accounts of the banks with Norges Bank	75	−287	39	139	143	34
3. Changes in Treasury Bills held by the banks and the general public	−26	−8	2	−1	1	−6
4. Other changes	48	−19	25	48	27	81

Source: Central Bureau of Statistics.

Table IX. WAGES AND PRICES

1958 = 100.

	1962				1963				1964				1965
	1st qtr.	2nd qtr.	3rd qtr.	4th qtr.	1st qtr.	2nd qtr.	3rd qtr.	4th qtr.	1st qtr.	2nd qtr.	3rd qtr.	4th qtr.	1st qtr
1. Hourly earnings in industry[1]	127	140	134	136	136	140	141	143	142	147	150	152	..
2. Cost of living	108	109	112	112	114	114	114	114	117	119	121	121	123
a) Food	107	111	114	113	115	114	112	111	119	121	127	127	127
3. Wholesale Prices	103	103	104	104	104	104	105	105	107	108	110	111	111
a) Producer goods	103	102	102	102	101	102	102	102	103	105	107	110	110
b) Consumer goods	101	102	104	104	104	104	104	105	109	109	111	110	110
c) Food products	102	101	103	104	104	102	104	105	108	108	117	114	111
4. Building costs (dwelling in Oslo)	110	111	112	112	112	113	114	114	114	117	118	120	121

1. Men only.

Source: OECD Main Economic Indicators, Statistisk Maanedshefte.

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